

Procure Space ETF

SPCX NASDAQ

Buy	\$148.23 ▲ 1.89%	12M Price Target \$175.00	52-Week Range \$104.83 – \$225.64	Market Cap \$1.95T
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SPCX: Space ETF Steady as Defense Budget Fuels Sector

WHAT HAPPENED

- SPCX bounced back +1.89% to \$148.23 after Friday's dip to \$145.47 — basically a quiet reversion move on lighter volume (53M vs 83M on the down day), which tells me sellers ran out of steam rather than buyers pushing hard on news. No overnight headlines, no filings — this is technical.
- Options flow is loudly bullish though: put/call ratio at 0.39 (meaning traders are buying 2.5x more upside calls than downside puts), with unusual call buying stacked at \$148-\$150 strikes for October. Somebody's betting on a near-term pop.

WHY IT MATTERS

Here's what I think is going on: SPCX is sitting at just 36% of its 52-week range (\$104-\$225), so this thing got beaten up hard from the highs earlier this year and is now grinding sideways in the mid-\$140s. That's a coiled-spring setup — the aggressive October call buying suggests smart money thinks a catalyst is coming, and the obvious one is the FY2027 defense appropriations debate heating up in Congress this fall, where Space Force funding is expected to grow again. The bigger picture: space is one of the rare bipartisan spending priorities left in DC, so even in a shutdown/CR fight, the space budget rarely gets cut. If you're patient, being long SPCX here is essentially a bet that government space spending keeps compounding while the commercial launch/satellite market matures.

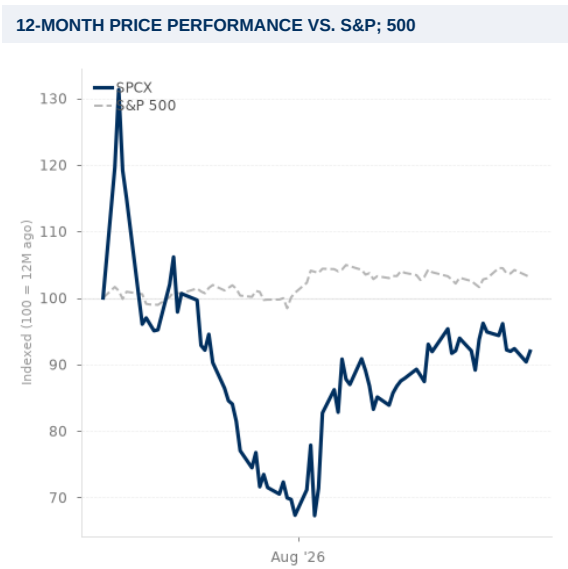
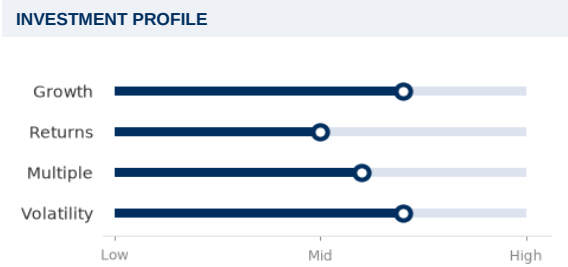
POLICY & POLITICAL WATCH

The big one to watch: the FY2027 National Defense Authorization Act (NDAA) is moving through conference committee, and the Space Force line item is projected to grow ~13% YoY — that's a direct tailwind for SPCX holdings like Rocket Lab, Iridium, and defense-adjacent satellite names. Also on the radar: the FCC's ongoing spectrum allocation fights (favorable to satellite operators if they get more Ku/Ka-band access) and the FAA's launch licensing reform push, which if finalized would let launch companies move faster and cheaper. On the risk side, any tariff escalation on rare earths or Chinese-made electronics components could pinch satellite manufacturing margins.

IS IT EXPENSIVE?

SPCX is an ETF, so traditional P/E is less useful — what matters is the underlying basket's aggregate valuation. Right now the space sector trades at a premium to broader industrials because investors are paying up for growth optionality (essentially, "I'll pay more today because I think the addressable market explodes in 5-10 years"). At 36% of its 52-week range, you're getting the space theme at a meaningful discount to where the market valued it 6 months ago — not a screaming bargain, but a reasonable entry if you believe the long-term story.

Key Data	
Price (USD)	\$148.23
12M Price Target	\$175.00
Upside / (Downside)	+18.1%
Market Cap	\$1.95T
FY2026E Revenue	—
FY2027E Revenue	—
FY2026E EPS	N/M
FY2027E EPS	N/M
Fwd P/E	N/M



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$158.00	\$151.00	\$142.00
6 Months	\$180.00	\$162.00	\$135.00
1 Year	\$210.00	\$175.00	\$125.00
2 Years	\$260.00	\$205.00	\$115.00
5 Years	\$380.00	\$275.00	\$130.00
10 Years	\$600.00	\$425.00	\$150.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Utilities (+0.98%) leading today — classic defensive rotation, suggests some macro caution creeping in. Industrials holding up (+0.15%) which is quietly good for SPCX since space is industrial-adjacent.

COOLING OFF: Real Estate (-2.99% for the week) and Tech (-0.97%) — rate-sensitive names getting hit, which tells me the market is repricing for higher-for-longer rates.

ROTATION WATCH: Money is moving defensive (utilities up, tech down) — that's a mild headwind for growthy space names, but SPCX is holding up better than tech, which suggests the defense/government-revenue component is providing a floor.

RELATED PLAY: If space keeps working, look at the ground-infrastructure plays — antenna makers, ground station operators, and satellite data analytics firms benefit as more satellites go up regardless of who launches them.

WHO'S WINNING IN THIS SPACE?

- **RKLB (Rocket Lab):** Winning on Neutron rocket progress and steady government contract wins — the "next SpaceX" narrative keeps drawing capital.
- **IRDM (Iridium):** Boring but profitable satellite comms play with recurring government revenue — the kind of holding that stabilizes SPCX when speculative names wobble.

SPCX CONTEXT: SPCX is lagging its highest-flying components but outperforming the broader tech tape this week — that's actually healthy. It means the ETF is behaving like the diversified space bet it's supposed to be, not just tracking one hot name.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — I like the setup (policy tailwinds + technical base + bullish options flow) but this isn't a table-pounder without a clear near-term catalyst confirmed.

POSITION SIZE: 3-5% of portfolio — space is volatile and thematic, so size it like a satellite (pun intended) position, not a core holding.

ENTRY POINTS: Add on any pullback to \$142-146. If it breaks \$140, wait and reassess — that would signal something changed.

TIME HORIZON: 12-24 months. Main catalyst I'm watching is the NDAA passage this winter and Q4 launch cadence from top holdings.

WHEN TO BAIL: If SPCX breaks below \$125 on volume, or if the defense budget gets meaningfully cut in the final NDAA — the whole thesis rests on government spending staying strong.

HEDGING: Simplest hedge is just keeping your position size disciplined. If you want to get fancier, you can buy a put option (essentially insurance that pays off if the stock drops) on SPCX or on a single high-flying holding like RKLB to offset downside on a bad space headline.